

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q3 FY2026 · Model data as of 2026-10-05

BUY

Composite · Valuation: BUY

Target \$173.14 · +53.5% upside

Price \$112.82

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$173.14 (+53.5% vs \$112.82); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$173.14	45%
FSA	Stable	Health +0.10 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +69%	15%
Composite	BUY	Score +0.61 · 75% confluence	—

Valuation + technical aligned bullish.

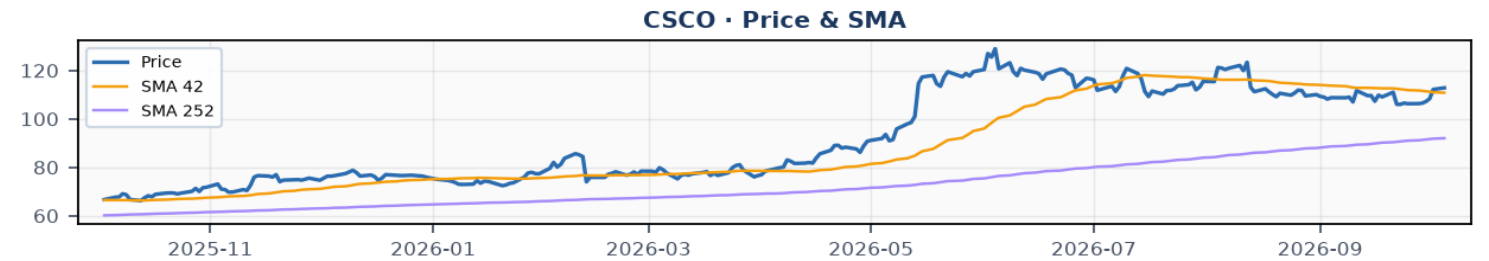
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies to power, help, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$173.14. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$444.80B	Shares Out.	3942.6M
52-Week Range	\$66.81 – \$130.37	P/E (TTM)	33.9x
P/B	8.9x	Beta	0.98
Avg Volume	19.58M	Analyst Rec.	Buy
Revenue (TTM)	\$63.32B	Rev Growth	+17.6%
Op. Margin	27.7%	FCF (TTM)	\$12.77B
Gross Margin	64.5%	ROE	27.3%
EV/EBITDA	24.5x	Debt/Equity	62.0%
EPS (TTM)	\$3.33	Div Yield	1.5%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	56,654	63,325	74,470	84,203	92,539
Revenue Growth (%)	N/A	11.8%	17.6%	13.1%	9.9%
Net Income (\$M)	10,180	13,267	15,602	17,641	19,387
Gross Margin (%)	64.9%	64.5%	64.5%	64.5%	64.5%
Net Margin (%)	18.0%	21.0%	21.0%	21.0%	21.0%
EPS (\$)	2.58	3.37	3.96	4.47	4.92
P/E (x)	43.69	33.53	28.51	25.21	22.94

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$110.83	Short-term trend	12m Momentum	+69.2%	
SMA (252d)	\$92.03	Long-term trend	3m Momentum	-0.5%	
RSI (14d)	58.0	Momentum oscillator	Ann. Volatility	26.0%	
Trend	Bullish		Sharpe Ratio	0.59	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+49.4%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$110.83, SMA252=\$92.03	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	23.5%	B&H; 31.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$80.35	-28.8%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$182.38	+61.7%	80%	Included in blend
Analyst consensus	\$136.16	+20.7%	20%	Included in blend
Blended target	\$173.14	+53.5%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.38%	4.00%	8.80%	\$316.79B	\$80.35	-28.8%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$260.95B	65.3x	53.5x	38.4%	+37.7%
MSI	Motorola Solutions, In	\$75.36B	35.9x	22.1x	17.4%	+13.3%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$55.26B	87.2x	54.8x	10.9%	+37.0%
CSCO*	Cisco Systems, Inc.	\$444.80B	33.9x	24.5x	21.0%	+17.6%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.